

Employee Tour & Travel Policy (Domestic)

- Objective:** To lay down the grade-wise entitlements of various expenses incurred by the employees while traveling on official work within India.
- Eligibility:** Applicable to *all the employees* of **xxxxx** & its subsidiaries, Associates.
- Sanctioning Authority:**

For any tour on official purpose, the employees have to fill-up a *Travel Requisition Form (TRF)*, (attached in the *annexure*) & get it *approved* by the respective approving authorities (as per the *matrix* mentioned below) before submitting to *Travel helpdesk (**)* for procuring tickets.

Employees based at branch/regional offices should submit the approved *TRF* to the respective *regional Admn / Accounts*.

Grade-wise Travel Requisition Approval Authority matrix

Sr.	Grade	Approving Authority
1	CS - 1 & 2	MD / Director / ED
2	CS - 3	CS - 1 'or' CS - 2
3	CS - 4	CS - 3
4	CS - 5, 6, 7 & MT	Chief Manager in CS - 4

Travel Helpdesk: The proposed *Travel helpdesk* is a value added service based at HO and *corporate HR / Admin* team would facilitate its operations. The *travel helpdesk* would be responsible to handle the *entire gamut of activities related to all the domestic as well international travels*

However, the existing practice of booking of tickets / hotels etc would continue till the *modus operandi* of proposed *travel desk* is announced officially.

4. Definition of Tour:

An employee is deemed to be on tour, if he/she visits a place *not less than 100 km.* from the *origin to destination* and/or requires *over night stay* at the destination.

5. City categorization:

Cat	Cities
A	Mumbai, Delhi, Kolkata, Chennai, Bangalore, Hyderabad & Ahmedabad
B	Other <i>state capitals</i> except those mentioned under <i>cat - 'A'</i> & Nagpur, Pune, Nasik, Aurangabad, Cochin.
C	<i>All other cities</i> than those mentioned in <i>cat - A & B</i>

6. Entitlements related to domestic travels:

- Mode of Travel:** Though the specific mode of travel applicable to employees in various grades are mentioned in the attached matrix, *Air travel, because of high cost implication, should always be used as Secondary mode of travel.*

Grade	1-way distance (Base - Destination)	Mode of travel
Executive Director & Director	< 400 kms	Train (AC - II/1st class)
	>= 400 kms	Air (Economy) (Apex/ Auction/ discounted fares, No Frill airlines)
	For any distance, where the flying time is 2 hrs. or more, employees in this grade, may prefer Air Travel in <i>Business Class</i>	
CS - 1	< 400 kms	Train (AC - II / 1st Class)
CS - 2	>= 400 kms	Air (Economy) (Apex/ Auction/ discounted fares, No Frill airlines)
CS - 3	< 400 kms	Train (AC - II/1st class) In case of <i>business exigency or time constraints</i> , Air (Economy) (Apex/ Auction/ discounted fares, No Frill airlines) could be availed with prior Special Approval of respective HOD
	>= 400 kms	Air (Economy) (Apex/ Auction/ discounted fares, No Frill airlines)
CS - 4 (*)	Any	Train (AC - II/1st class) In case of <i>business exigency or time constraints</i> , Air (Economy) (Apex/ Auction/ discounted fares, No Frill airlines) could be availed with prior special Approval of respective HOD
CS - 5	Any	Train (AC - III/II), Air travel is NOT permitted
CS - 6 CS - 7	Any	Train (Sleeper- III tier), Air travel is NOT permitted

- Senior Employee, who are required to travel frequently by air, should use 'Apex / Auction / discount coupons' available from various airlines on special schemes like Super Sixer etc. Employees are encouraged to use *No Frill airlines*, wherever possible.
- **Air travel with Normal fair will NOT be approved at any circumstances.**
- Because of non-availability of any other mode of travel, Employees, irrespective of their grades, traveling to *north-east states* (Sikkim, Manipur, Mijoram, Nagaland etc.) of the country will be eligible to use 'Air' (Apex / Auction / discount coupons, No Frill airlines) as the Primary mode of travel.

(*) Note:

- Chief Managers in CS-4 are eligible for Air travel (Apex / Auction / discount coupons / No frills) as primary mode of travel.
 - In case, the *To & fro Air fare* (Apex / Auction / discount coupons / No frills) of the proposed travel is less than the amount equivalent to *1 & 1/2 times of the train fare* and the journey by train takes 24 hrs or more, *Sr. Managers & Managers* in CS-4 will be eligible to use Air (Apex / Auction / discount coupons / No frills) as the *Primary mode of travel*.
- 6.2 **Expenses incurred while traveling (En-route):** Expenses incurred during the journey (*In-Transit*) on account of food, tips, portorage etc. would be reimbursed as per the below -mentioned norms -
- For *half-day* journeys (Journey time: 12 - 24 hrs): Rs. 120 per day
 - For journeys taking 24 hours or more (Journey time: *more than 24 hrs*): Rs. 240 per day
- 6.3 **Lodging & Boarding:** The grade-wise entitlements of *daily lodging & boarding expenses* are specified in the below-mentioned matrix and are inclusive of *miscellaneous expenses* like *laundry, tips, portorage* etc.

Grade	City Category	Lodging Expenses (If stays in <i>hotel</i> , in absence of CPA)	Boarding Expenses (*)		Total Expenses (Lodging + Boarding)	
			Hotel	CPA (@60%)	Hotel	CPA
ED, Dir	A	4000	1000	600	5000	600
	B	3000	1000	600	4000	600
	C	2500	500	300	3000	300
CS - 1 CS - 2	A	3000	1000	600	4000	600
	B	2500	500	300	3000	300
	C	2000	500	300	2500	300
CS - 3	A	2500	500	300	3000	300
	B	2000	500	300	2500	300
	C	1500	500	300	2000	300
CS - 4	A	2000	500	300	2500	300
	B	1500	500	300	2000	300
	C	1250	500	300	1750	300
CS - 5	A	1250	250	150	1500	150
	B	1000	250	150	1250	150
	C	750	250	150	1000	150
CS - 6 CS - 7	A	1000	250	150	1250	150
	B	750	250	150	1000	150
	C	500	200	120	700	120

(*) **Boarding Expenses** includes *food, miscellanies & Incidental expenses*

CPA = *Company Provided Accommodation*

6.3.1 **Company provided Accommodation (CPA):** Employees while traveling on official purpose should stay in *company provided accommodation*, wherever available.

- Employees intending to travel to a particular location should inform the *Travel helpdesk* in advance, so that the necessary arrangements could be done.
- Necessary arrangements to provide meals may also be done with prior confirmation of date & time of visit.
- *Meals, snacks etc.* bought occasionally from outside *would be reimbursed on actual*, subject to @ **60%** of maximum daily entitlement allowed while staying in *hotel*, specified in the above-mentioned eligibility matrix.

6.3.2 **Hotel:** *Travel helpdesk* with the help from *Corporate Administration* will facilitate a *country-wide tie-up* with identified chain of *hotels* covering most of the possible travel locations in the country and in case of *non-availability of company provided accommodation* in traveled location, employees may avail the *hotel accommodation* as per their respective individual grade-wise entitlements as specified in the above-mentioned eligibility matrix.

Employees should inform the *Travel helpdesk* in advance so as to initiate the necessary lodging arrangements at the traveled locations.

- When a team comprising employees of different grades, is traveling together for a common assignment, the stay of the entire team could be approved in the same hotel (specified for higher grades) on *Twin sharing* basis, in order to maintain the spirit & moral of the team.
- In case of 2 employees staying in the same room on *Twin sharing* basis, the entitlement for each of them would become @**75%** of their individual maximum eligibility.

e.g. Suppose, 2 employees of CS – 3 share a room in a Cat – A city, though their individual eligibility is @ Rs. 2500 each, in this case, since they are sharing the same room, they would be eligible to claim Rs. 3750 (75% of combined eligibility).

- In case the boarding expense incurred on a particular day is less than the prescribed daily limit, the balance amount can be used on next day, provided the total expense incurred during the entire Travel period doesn't exceed the maximum limit.
- Expenses on *Personal consumption of cigarettes & alcohol* while staying in the hotel will not be reimbursed at any point of time.

6.3.3 Personal Arrangements: Employees neither availing company guesthouse, nor the hotel facility, will be eligible to a *daily allowance* equivalent to his/her respective grade-wise *daily boarding entitlement* & @ **25%** of *daily lodging entitlement* (as specified in the eligibility matrix) *clubbed together*. Employees availing this benefit *will not be eligible to reimbursement of any further expenses*.

6.4 Local Conveyance: Employees may use local conveyance as per their individual grade-wise entitlements as specified below -

Grade	1-way distance (from base to destination)	Mode of Local Conveyance
ED, Dir	Any	Private hired car (Type - A) (AC)
CS - 1 CS - 2	< 150 kms	Public taxi
	> 150 kms	Private hired car (Type - A) (AC)
CS - 3	< 150 kms	Private hired car (Type - B) (AC)
	> 150 kms	Public taxi
CS - 4	Any	Public taxi / Auto
	In case of business exigency, Private hired car (Type - B) (AC) can be used for distance > 150 kms (with special approval)	
CS - 5 CS - 6 CS - 7	Any	Auto, Public transport

Grade	Car Type	Car Make/Model
ED, Dir	A	Honda City, Hyundai Accent, Maruti Esteem, Ford (Icon), Tata Indigo
CS - 1 & CS - 2		
CS - 3 & CS - 4	B	Tata Indica, Santro, Ambassador
CS - 5, 6 & 7	C	Maruti 800, OMNI, Ambassador

- 6.4.1 If the *office vehicle* is available at the traveled location, the employees must use the same as the *priority mode of travel* for local journeys.
- 6.4.2 In case of *local over night journey*, the employees should try to use *Train* as the *priority mode of travel*. *Over night journeys* in two-wheelers are strongly *discouraged* for reasons of safety.
- 6.4.3 Employees may also use *bus services* for day/over night journeys from the primary travel location and the expenses incurred would be reimbursed on *actual*, subject to *submission of bills, tickets etc. in original*.

6.4.4 Employees may use their own vehicles for official purpose & will be reimbursed on the following basis -

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- **Two-wheeler** (Scooter, Motor bike etc): @ **Rs. 2.50 /-** Per kilometer
- **Car:** @ **Rs. 5 /-** Per kilometer

6.5 **Telephone Expenses:** Employees, while traveling, should avoid using *hotel phones* for making official calls. They can use the *cell phones* to make *personal calls*, which should be identified in the monthly bills while claiming the monthly reimbursements.

6.6 **Non-Reimbursable Expenses:** Employees should not claim the reimbursements of following expenses –

- Personal airfare or any upgrade charges
- Trip insurance
- Repair, maintenance of briefcases, luggage or similar items
- Loss of cash or other personal property due to negligence
- Unsanctioned trips, entertainment, gifts or donations
- Personal medical supplies
- Other travel expenses considered as '*not necessary*' during the trip

7. **Reimbursement of Travel Expenses:** While traveling on official purpose, *employees are advised to incur all the expenses themselves* and submit all the bills, receipts etc., in *original*, to *Accounts (HO)* for claiming the reimbursement.

While submitting such claims the below -mentioned *guidelines* to be followed -

- All such claims for reimbursements should be submitted within **7 days** of completion of the trip
- While submitting the *Travel Expenses claim*, it should be accompanied with the below-mentioned documents in *original* –
 - **Travel by Train:** *Tickets checked by Railways*. In case of *unavailability of original train tickets*, the employee should submit a declaration in this respect mentioning all the related details like *Train name, number, date of journey, PNR number* etc.
 - **Travel by Air:** *Ticket*
- No reimbursement would be made* in absence of *original bills/receipts* etc.
- In case of *Employees based* at the *branch/regional offices*, the same needs to be submitted to the respective regional accountant/Regional head for further processing.
- While incurring expenses, all the *bills/receipts* etc. should be drawn in *company's name*. Bills/receipts drawn on individual name would **NOT** be treated as *expenses related to official travel* and hence, *would not be considered for reimbursement*.

8. Tour Report:

Employees in CS-4, 5, 6 & 7 need to submit a *Tour Report* (format attached in *annexure*) to the respective HODs immediately after coming back from the tour.

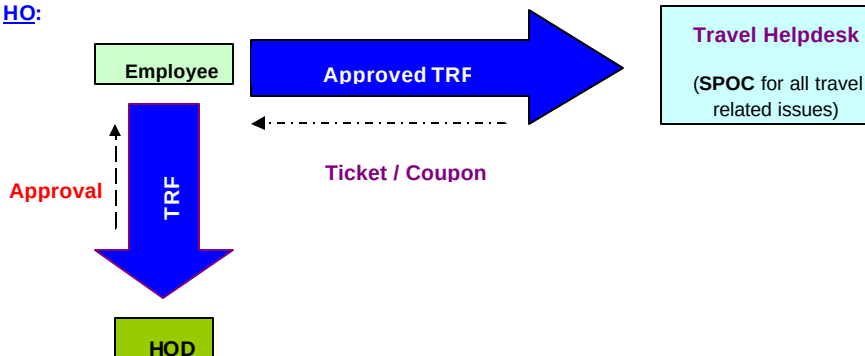
9. **Travel Expenses budget:**

- To make a provision for the annual travel expenses in the company budget, the concerned business/functional heads are required to prepare and submit a '*Quarterly Tours & Travel expenses budget*' for their respective functions/teams & get it approved at the start of the financial year.
- Although the individual eligibilities for various benefits for employees in different functions & grades have been defined, those should be treated as the *maximum limits* and it is the responsibility of the concerned business or functional heads to ensure that, the actual Travel expenses of their respective teams should never exceed the '*quarterly budgeted amount*' approved for this purpose.

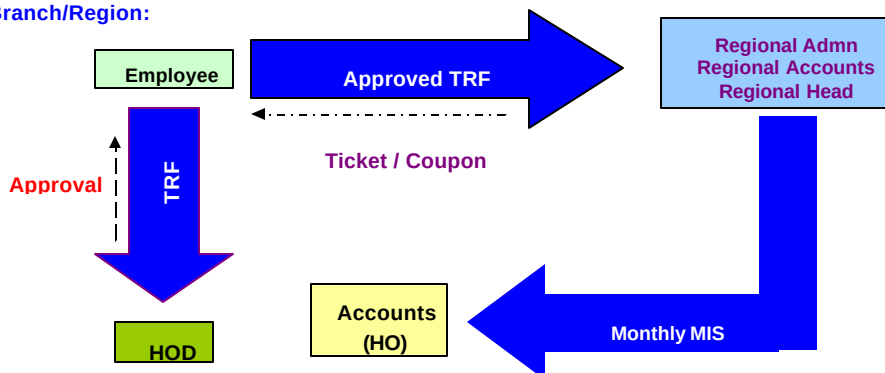
Process Plan

Step - I: Approval of Travel Requisition & Issue of Coupons/tickets:

HO:

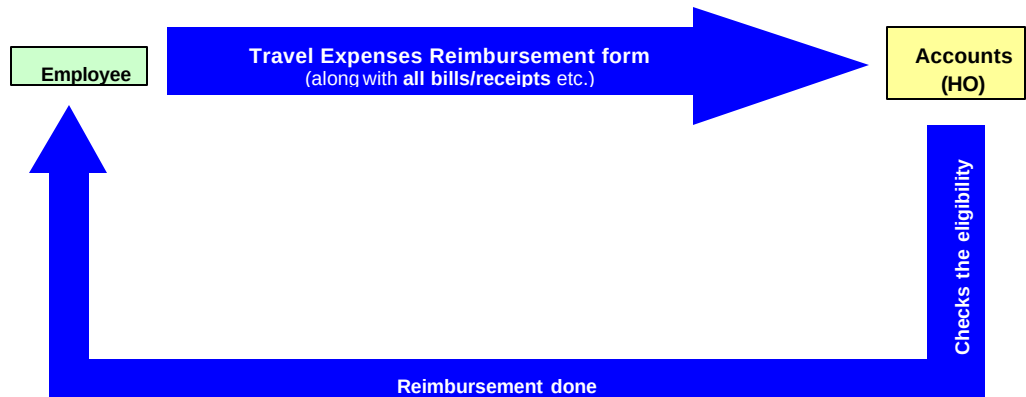


Branch/Region:



Step - II: Claiming the Travel expenses Reimbursement:

HO:



Branch/Region:

